



Low Rate Income Pool (LRIP) Calculation (2022 and later tax years)

Corporation's name	Business number	Tax year-end Year Month Day
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- Use this schedule to calculate the balance of the low rate income pool (LRIP) at any time in the tax year if you are a corporation resident in Canada that is:
 - a corporation **other** than a Canadian-controlled private corporation (CCPC) or a deposit insurance corporation (DIC)
 - a corporation that elected under subsection 89(11) not to be a CCPC
 - a corporation that was a substantive CCPC at any time in the previous tax year starting after April 6, 2022
- When an eligible dividend was paid or there was a change in the LRIP balance in the tax year, file this schedule with your T2 Corporation Income Tax Return. Do not send your worksheets (pages 3 to 5) with your return, but keep them in case we ask to see them later.
- Unless otherwise stated, all legislative references are to the Income Tax Act.
- Subsection 89(1) defines the terms **eligible dividend**, **excessive eligible dividend designation**, **general rate income pool**, and **low rate income pool**.
- Subsection 129(4) defines the term **aggregate investment income** and subsection 248(1) defines the term **substantive CCPC**.

Part 1 – Low rate income pool (LRIP)

LRIP at the end of the immediately previous tax year	100	
Aggregate investment income for the previous tax year ¹ (line 440 of the T2 return of the previous tax year)	140	× 80% = 150
Investment corporation deduction (line 620 of the T2 return of the previous tax year)		× 4 = 160
Subtotal (add lines 100, 150, and 160)		190

¹ Enter an amount on line 140 **only** if:

- you **were not** a CCPC in the previous tax year because of an election under subsection 89(11)
- you **were** a substantive CCPC at any time in the previous tax year starting after April 6, 2022

Part 2 – LRIP and excessive eligible dividend designations during the tax year

- Fill out this part if you paid an eligible dividend in the tax year.
- If you need more space, attach additional sheets.

1 Date ² (yyyy/mm/dd)	2 Total dividends ³ receivable in the year before the date on line 200 that are deductible under section 112	3 Total adjustments for amalgamations, wind-ups, or on ceasing to be a CCPC ⁴	4 Subtotal (add lines 190, 210, and 220)	5 Total dividends ⁵ payable in the year before the date on line 200	6 Total of excessive eligible dividend designations made before the date on line 200
200	210	220	230	240	250

7 LRIP as of the date on line 200 (line 230 minus the total of line 240 and line 250)	8 Total eligible dividends paid on the date on line 200	9 Excessive eligible dividend designation (lesser of lines 260 and 270)
260	270	280

Total excessive eligible dividend designations
in the tax year (total of column 9)

Enter amount A at amount C of Schedule 55.

² Enter in column 1 each date when:

- an eligible dividend was paid in the year
- an adjustment was made as a result of an amalgamation or the wind-up of a subsidiary or on ceasing to be a CCPC (by an election or otherwise)

³ Include taxable dividends from a corporation resident in Canada (other than eligible dividends).

⁴ Fill out Part 4 when the corporation ceases to be a CCPC or DIC. Fill out Part 5 for **each** predecessor involved in the amalgamation and Part 6 for **each** subsidiary involved in the wind-up. Add the adjustments calculated in parts 4 to 6 for the same date and enter the result in column 3 beside the appropriate date entered in column 1. Enter the total of column 3 on line 520 in Part 3.

⁵ Include taxable dividends other than eligible dividends, capital gains dividends within the meaning assigned by subsection 130.1(4) or 131(1), or dividends deductible under subsection 130.1(1).

Part 3 – LRIP closing balance

Amount from line 190 in Part 1		B
Total dividends ⁶ receivable in the tax year that are deductible under section 112	510	
Total adjustments for amalgamations, wind-ups, or on ceasing to be a CCPC ⁷	520	
Subtotal (line 510 plus line 520)	▶	C
Subtotal (amount B plus amount C)		D
Total dividends ⁸ payable in the tax year	540	
Total excessive eligible dividend designations in the tax year (amount A in Part 2)		E
Subtotal (line 540 plus amount E)	▶	F
LRIP at the end of the tax year (amount D minus amount F) (if negative, enter "0")	590	

⁶ Include taxable dividends from a corporation resident in Canada (other than eligible dividends).

⁷ Fill out Part 4 when the corporation ceases to be a CCPC or DIC. Fill out Part 5 for **each** predecessor involved in the amalgamation and Part 6 for **each** subsidiary involved in the wind-up. Add the adjustments calculated in parts 4 to 6 for the same date and enter the result in column 3 beside the appropriate date entered in column 1 of Part 2. Enter the total of column 3 on line 520.

⁸ Include taxable dividends other than eligible dividends, capital gains dividends within the meaning assigned by subsection 130.1(4) or 131(1), or dividends deductible under subsection 130.1(1). For a non-CCPC with a tax year starting after April 6, 2022, include amounts paid in the previous tax year that did not reduce the LRIP or line 150 of the previous tax year, whichever is less.

Part 4 – Worksheet for adjustment when a corporation ceases to be a CCPC or DIC

- Fill out this part if the corporation is neither a CCPC nor a DIC in this tax year but was a CCPC or a DIC in the previous tax year.
- This adjustment to the LRIP can be made at any time in the tax year.
- Keep a copy of this calculation for your records in case we ask to see it later.

Cost amount to the corporation of all property immediately before the end of the previous tax year 1

The corporation's cash on hand immediately before the end of the previous tax year 2

Total of subsection 111(1) losses that would have been deductible in computing the corporation's taxable income for the previous tax year if the corporation had had unlimited income from each business carried on and each property held and had realized an unlimited amount of capital gains for the previous tax year:

Non-capital losses 3

Net capital losses 4

Farm losses 5

Restricted farm losses 6

Limited partnership losses 7

Subtotal (add amounts 3 to 7) 8

Total of all amounts deducted under subsection 111(1) in computing the corporation's taxable income for the previous tax year:

Non-capital losses 9

Net capital losses 10

Farm losses 11

Restricted farm losses 12

Limited partnership losses 13

Subtotal (add amounts 9 to 13) 14

Unused and unexpired losses at the end of the corporation's previous tax year
(amount 8 minus amount 14) (if negative, enter "0") 15

Subtotal (add amounts 1, 2, and 15) 16

All of the corporation's debts and other obligations to pay that were outstanding immediately before the end of its previous tax year 17

Paid up capital of all the corporation's issued and outstanding shares of capital stock immediately before the end of its previous tax year 18

All of the corporation's reserves deducted in its previous tax year 19

The corporation's capital dividend account immediately before the end of its previous tax year if the corporation is **not** a private corporation in the current tax year 20

The corporation's general rate income pool (GRIP) at the end of its previous tax year (if negative, use brackets) 21

Eligible dividends paid in the previous tax year 22

Excessive eligible dividend designations made in the previous tax year 23

Subtotal (amount 22 minus amount 23)
(if negative, enter "0") 24

Subtotal (amount 21 minus amount 24) (if negative, use brackets) 25

Subtotal (add amounts 17, 18, 19, 20, and 25) (if negative, use brackets) 26

Adjustment for a corporation that ceases to be a CCPC or DIC (amount 16 minus amount 26) (if negative, enter "0") 27

Part 5 – Worksheet for adjustment when a corporation is formed as a result of an amalgamation

- Fill out this part if the corporation was formed as a result of an amalgamation or merger of two or more corporations, one or more of which is a taxable Canadian corporation. Fill out a separate worksheet for **each** predecessor.
- This adjustment to the LRIP can be made at any time in the tax year.
- The last tax year was its tax year that ended immediately before the amalgamation.
- Keep a copy of this calculation for your records in case we ask to see it later.

For a predecessor corporation that was a CCPC or a DIC in its tax year that ended immediately before the amalgamation

Cost amount to the predecessor of all property immediately before the end of its last tax year 1

The predecessor's cash on hand immediately before the end of its last tax year 2

Total of subsection 111(1) losses that would have been deductible in computing the predecessor's taxable income for its last tax year if the predecessor had had unlimited income from each business carried on and each property held and had realized an unlimited amount of capital gains for its last tax year:

Non-capital losses 3

Net capital losses 4

Farm losses 5

Restricted farm losses 6

Limited partnership losses 7

Subtotal (add amounts 3 to 7) 8

Total of all amounts deducted under subsection 111(1) in computing the predecessor's taxable income for its last tax year:

Non-capital losses 9

Net capital losses 10

Farm losses 11

Restricted farm losses 12

Limited partnership losses 13

Subtotal (add amounts 9 to 13) 14

Unused and unexpired losses at the end of the predecessor's last tax year
(amount 8 **minus** amount 14) (if negative, enter "0") 15

Subtotal (add amounts 1, 2, and 15) 16

All of the predecessor's debts and other obligations to pay that were outstanding immediately before the end of its last tax year 17

Paid up capital of all the predecessor's issued and outstanding shares of capital stock immediately before the end of its last tax year 18

All of the predecessor's reserves deducted in its last tax year 19

The predecessor's capital dividend account immediately before the end of its last tax year if the corporation is **not** a private corporation in its first tax year 20

The predecessor's general rate income pool (GRIP) at the end of its last tax year (if negative, use brackets) 21

Eligible dividends paid in its last tax year 22

Excessive eligible dividend designations made in its last tax year 23

Subtotal (amount 22 **minus** amount 23)
(if negative, enter "0") 24

Subtotal (amount 21 **minus** amount 24) (if negative, use brackets) 25

Subtotal (add amounts 17, 18, 19, 20, and 25) (if negative, use brackets) 26

Adjustment for a predecessor corporation that was a CCPC or a DIC in its last tax year
(amount 16 **minus** amount 26) (if negative, enter "0") 27

For a predecessor corporation that was neither a CCPC nor a DIC in its tax year that ended immediately before the amalgamation

LRIP at the end of its last tax year 28

Adjustment for a predecessor corporation involved in an amalgamation (amount 27 **plus** amount 28) 29

Calculate amount 29 for **each** predecessor.

Part 6 – Worksheet for adjustment when a corporation has wound-up a subsidiary

- Fill out this part if the corporation is the parent corporation (parent) that is neither a CCPC nor a DIC in a tax year and has, in the year, received all or substantially all of the assets on dissolution or wind-up of a subsidiary. Fill out a separate worksheet for **each** subsidiary involved in the wind-up.
- This adjustment to the parent's LRIP can be made at any time in the tax year that is at or after the end of the subsidiary's last tax year.
- The last tax year for the subsidiary was its tax year during which its assets were distributed to the parent corporation on the wind-up.
- Keep a copy of this calculation for your records in case we ask to see it later.

For a subsidiary that was a CCPC or a DIC in its last tax year

Cost amount to the subsidiary of all property immediately before the end of its last tax year 1

The subsidiary's cash on hand immediately before the end of its last tax year 2

Total of subsection 111(1) losses that would have been deductible in computing the subsidiary's taxable income for its last tax year if the subsidiary had had unlimited income from each business carried on and each property held and had realized an unlimited amount of capital gains for its last tax year:

Non-capital losses 3

Net capital losses 4

Farm losses 5

Restricted farm losses 6

Limited partnership losses 7

Subtotal (add amounts 3 to 7) 8

Total of all amounts deducted under subsection 111(1) in computing the subsidiary's taxable income for the last tax year:

Non-capital losses 9

Net capital losses 10

Farm losses 11

Restricted farm losses 12

Limited partnership losses 13

Subtotal (add amounts 9 to 13) 14

Unused and unexpired losses at the end of the subsidiary's last tax year
(amount 8 **minus** amount 14) (if negative, enter "0") 15

Subtotal (add amounts 1, 2, and 15) 16

All of the subsidiary's debts and other obligations to pay that were outstanding immediately before the end of its last tax year 17

Paid up capital of all the subsidiary's issued and outstanding shares of capital stock immediately before the end of its last tax year 18

All of the subsidiary's reserves deducted in its last tax year 19

The subsidiary's capital dividend account immediately before the end of its last tax year if the parent is **not** a private corporation in the tax year 20

The subsidiary's general rate income pool (GRIP) at the end of its last tax year (if negative, use brackets) 21

Eligible dividends paid in its last tax year 22

Excessive eligible dividend designations made in its last tax year 23

Subtotal (amount 22 **minus** amount 23) (if negative, enter "0") 24

Subtotal (amount 21 **minus** amount 24) (if negative, use brackets) 25

Subtotal (add amounts 17, 18, 19, 20, and 25) (if negative, use brackets) 26

Adjustment for a subsidiary that was a CCPC or a DIC in its last tax year (amount 16 **minus** amount 26) (if negative, enter "0") 27

For a subsidiary that was neither a CCPC nor a DIC in its last tax year

LRIP at the end of its last tax year 28

Adjustment for a subsidiary involved in a wind-up (amount 27 **plus** amount 28) 29

Calculate amount 29 for **each** subsidiary.